we get through each day in a happy little bubble. We spend time and energy rationalizing our own behaviors, beliefs, and decision-making processes.

As investors, we want to believe we are smart, insightful, and uniquely talented—even though we often fail to do the heavy lifting, put in the long hours, and make the uncomfortable but necessary decisions to achieve success.

But self-deception is especially costly when it comes to investing. Let's consider some of the lies that a lot of you may be telling yourselves and the impact they may have on your portfolios.

You know what your investment returns are

You would be surprised at how few people actually know what their returns are. Even fewer understand their performance relative to a benchmark.

According to a study of online investors by Markus Glaser and Martin Weber, "The correlation coefficient between return estimates and realized returns is not distinguishable from zero."[230] In other words, what we think our investment returns are, and what they actually are, have literally nothing to do with each other.

It is not that complicated to correct this. Set up a simple spreadsheet using Microsoft Excel or Google Sheets or any of the available online tools. Keep careful records of your portfolios, cumulative and YTD returns, and you will avoid the performance delusion.

You can predict the future

You may not say you believe you can forecast what will happen next year, but you certainly behave that way.

Whenever you try to pick market tops and bottoms, you are making a prediction. Guessing what stock is going to outperform the market is forecasting, as is selling a stock for no apparent reason. Indeed, nearly all capital decisions made by most people are unconscious predictions.